JB Tile and Stone

VALUATION & RISK INSIGHTS REPORT

Discovering the fair market value of Controlling, Non-Marketable Ownership of All Assets of **JB Tile and Stone**

Report date: July 07, 2025

Valuation date: May 31, 2025

PREPARED BY Value Buddy

EXECUTIVE SUMMARY

Prepared for
Craig Rogers
Underwriter
First Internet Bank of Indiana
8701 E 116th Street
Fishers, IN 46038

U.S. Small Business Administration
409 3rd St, SW
Washington, DC 20416

Subject interest: Valuation of All Assets of JB Tile and Stone

Dear First Internet Bank of Indiana and U.S. Small Business Administration,

Upon your request, we have conducted a valuation engagement, as defined by the Professional Standards of the National Association of Certified Valuators and Analysts (NACVA), for a purchase of all assets of JB Tile and Stone (herein referred to as "JB Tile & Stone" or the "Company") as of May 31, 2025. This valuation is based on a controlling, non-marketable basis.

The purpose of this report is to determine the fair market value of all assets of the Company for SBA 7a lending analysis and determination of fair market value. The use of this report is restricted to First Internet Bank of Indiana and the U.S. SBA. Value Buddy has no duty or obligations to any other party. Therefore, unauthorized possession, use, or modification of this report by any other parties is strictly prohibited.

We conducted our analysis with restrictions and limitations on the scope of our work based on available data. Based on our assessment detailed in this summary report, the estimated rounded fair market value of all assets of JB Tile & Stone as of May 31, 2025, on a controlling, non-marketable basis, is **$3,820,000**.

EXECUTIVE SUMMARY

Fair Market Value Allocation (100% subject interest)

Fair Market Value	**$ 3,820,000**
Adj. Book Value of Liabilities Assumed	$ -
Enterprise Value	**$ 3,820,000**
Fixed Tangible Assets	$ 110,698
Other Tangible Assets	$ 494,000
Tangible Assets Assumed	**$ 604,698**
Goodwill	**$ 3,215,302**

Key Metrics (all assets of JB Tile & Stone)

$3,820,000
Concluded value

Asset purchase
Purchase type

$110,698
Fixed assets

$494,000
Other tangible assets

$3,215,302
Goodwill

$646,783
Free cash flow

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INTRODUCTION

Standard of Value

For income tax purposes, the appropriate standard of value is fair market value ("FMV"), which is defined by IRS Ruling 59-60 as: *"the price, expressed in terms of cash equivalents, at which property would change hands between a hypothetical willing and able buyer and a hypothetical willing and able seller, acting at arm's length in an open and unrestricted market, when neither is under compulsion to buy or sell and when both have reasonable knowledge of the relevant facts."*

Premise of Value

The premise of value, such as going concern, determines the transaction circumstances. The Company is valued as an ongoing business.

Engagement Scope

In the course of conducting the valuation for the Company, if applicable, we took into account distinctions between the Company's preferred and common shares. This analysis encompassed factors such as liquidation preferences and conversion rights. Additionally, we carefully considered necessary adjustments to account for the lack of marketability associated with the Subject Interest. No site visits were conducted to inform the analysis of this appraisal.

Sources of information

- Prior 3 Years of Federal Tax Returns
- Interim income statement and balance sheet as of May 31, 2025
- Questionnaire completed by the borrower
- Letter of intent
- BVR DealStats and Economic Outlook Update
- 2024 IFA Franchising Economic Outlook

APPRAISER OVERVIEW



Prepared by

TIM GBUR, CVA

As the Director of Valuations at Value Buddy, Inc., Tim Gbur leverages a wealth of experience in the field of financial analysis and business valuations. Tim has specialized in SBA business valuations for nearly a decade and is recognized for his in-depth knowledge and insights in the small business valuation field.

Professional Overview:

- Value Buddy - Director of Valuations, leads Value Buddy's practice dedicated to preparing detailed business valuations for SBA lending
- Withum - Senior Associate, trusted expert in matters of SBA, gift tax, and estate planning business valuations
- Reliant Business Valuation - Senior Analyst, prepared hundreds of business valuations for the largest SBA lenders

Report prepared by	*Tim Gbur*
On behalf of	Value Buddy
Qualification	Certified Valuation Analyst (CVA)

JB TILE & STONE

Company Background

JB Tile & Stone is registered as a LLC. JB Tile & Stone, incorporated in 2008, has been in operation for 17 years. The company, located in Redwood City, California, operates as an LLC. JB Tile & Stone specializes in premium tile and stone installation services, stone fabrication, and materials sales for luxury kitchens, bathrooms, and custom home projects. Its core services include ceramic, porcelain, and glass tile installation, stone fabrication, and material sales. The company caters to high-end residential clients in the San Francisco Bay Area, focusing on new construction and renovation projects for custom homebuilders, general contractors, and affluent homeowners.

Services / Product Offerings:

JB Tile and Stone LLC, operating as JB Tile & Stone, specializes in premium tile and stone services for luxury residential projects in the Bay Area. Their offerings include ceramic, porcelain, and glass tile installation, accounting for 43% of revenue, as well as granite, marble, quartz, and limestone fabrication at 32%. Additionally, the company provides material sales and specialty services like tear-outs, heated floor systems, waterproofing, and grout repair. JB Tile and Stone caters to high-end residential clients, focusing on new construction and renovation markets. Their comprehensive services encompass stone fabrication, installation, and material sales, positioning them as a top choice for custom home projects requiring exquisite tile and stone work.

JB TILE & STONE

Clientele

JB Tile and Stone LLC, operating as JB Tile & Stone, serves a clientele primarily composed of high-end residential clients in the San Francisco Bay Area. The company's customer base includes premium custom homebuilders, general contractors, and affluent homeowners. Residential projects make up approximately 90% of the company's revenue, with around 70% coming from new construction projects. JB Tile & Stone has long-standing relationships with key custom builders, with 8 of its top 10 clients having partnerships lasting over a decade.

In 2024, the company's revenue heavily relied on its top clients, with the top 5 customers contributing to 51% of the total revenue. Additionally, 92% of the projects undertaken were for custom homebuilders and general contractors, indicating a high concentration of sales across accounts. The top 5 customers drive over 80% of the company's revenues.

The company's customer base is primarily located in the affluent San Francisco Bay Area, aligning with its focus on high-end residential clients and specialization in premium custom homebuilding projects.

JB TILE & STONE

Current Ownership and Acquisition Stake

The acquisition involves purchasing 100% of the assets of JB Tile & Stone. The Company is currently owned 51% by Jon C. Brown and 49% by Connie J. Brown. This transaction represents a full buyout of the business, with the acquirer gaining complete ownership and control over all assets and operations of the company.

Geographic Analysis

Redwood City, California, serves as the primary operational hub for the company, strategically positioned in the heart of Silicon Valley. With a population of approximately 85,000, the city boasts a diverse demographic profile, characterized by a blend of cultures and a median age of around 36 years. This vibrant community is supported by a robust economy, driven by the presence of numerous technology firms and startups, making it an attractive location for businesses seeking innovation and growth. The city's proximity to major tech giants and venture capital firms enhances its appeal as a business location. Additionally, Redwood City offers a high quality of life, with access to excellent educational institutions, healthcare facilities, and recreational amenities. The city's strategic location, coupled with its dynamic workforce and thriving economic environment, positions it as a compelling choice for business operations and potential acquisition opportunities.

INCOME STATEMENT

JB Tile & Stone Interim Income Statement

	Interim Financials	2025F
Net Sales	**$2,244,014**	**$5,306,627**
Gross Profit	$1,786,006	$2,405,594
Net Income	**$176,156**	**$534,759**
EBIT	$176,156	$534,855
EBITDA	**$176,156**	**$565,404**

Interim period: January 1, 2025 - May 31, 2025

Annualized interim: interim financials are created by dividing each interim financial metric by the portion of the year represented by the interim period *(e.g., if interim financials are as of 7/1/2024, this would represent 50% of the year, so interim financials would be annualized by dividing each financial metric by 0.5). Calculations are based on number of days in the year and number of days in the interim period.*

The interim period of January 1, 2025 - May 31, 2025 represents 41% of 2025, so the interim financials must be divided by 41% to arrive at the annualized interim financials.

INCOME STATEMENT

JB Tile & Stone Income Statements

	2022	2023	2024	2025F
Gross Sales	**$ 5,316,900**	**$ 5,803,396**	**$ 5,245,133**	**$ 5,306,627**
Returns and Allowances	$ -	$ -	$ -	$ -
Net Sales	**$ 5,316,900**	**$ 5,803,396**	**$ 5,245,133**	**$ 5,306,627**
Cost of Goods Sold	$ 1,470,767	$ 3,286,466	$ 2,867,415	$ 2,901,033
Gross Profit	**$ 3,846,133**	**$ 2,516,930**	**$ 2,377,718**	**$ 2,405,594**
Other Income	$ -	$ 66,527	$ -	$ -
Total Income	**$ 3,846,133**	**$ 2,583,457**	**$ 2,377,718**	**$ 2,405,594**
Officer Comp.	$ 354,115	$ 383,500	$ 371,231	$ 375,583
Salary and Wage	$ 2,414,662	$ 815,935	$ 574,990	$ 581,731
Repairs and Maintenance	$ 23,931	$ 14,991	$ 23,335	$ 23,609
Bad Debt	$ -	$ -	$ -	$ -
*Rent**	$ 120,000	$ 120,000	$ 130,000	$ 131,524
Taxes and Licenses	$ 312,855	$ 327,509	$ 300,872	$ 304,399
Interest	$ 335	$ 15,342	$ 95	$ 96
D&A	$ 13,060	$ 73,722	$ 30,195	$ 30,549
Advertising	$ 7,235	$ 70	$ 75	$ 76
Pension, Profit-Sharing, etc.	$ -	$ -	$ -	$ -
Employee Benefits	$ -	$ -	$ -	$ -
Other Premises and Property	$ -	$ -	$ -	$ -
Other Operating	$ 514,183	$ 398,059	$ 418,363	$ 423,268
Total Expenses	**$ 3,760,376**	**$ 2,149,128**	**$ 1,849,156**	**$ 1,870,836**
Net Income	**$ 85,757**	**$ 434,329**	**$ 528,562**	**$ 534,759**
Interest Add-Back	$ 335	$ 15,342	$ 95	$ 96
Income Tax Add-Back	$ -	$ -	$ -	$ -
EBIT	**$ 86,092**	**$ 449,671**	**$ 528,657**	**$ 534,855**
*D&A Add-Back**	$ 13,060	$ 73,722	$ 30,195	$ 30,549
EBITDA	**$ 99,152**	**$ 523,393**	**$ 558,852**	**$ 565,404**

ADJUSTED INCOME STMT.

JB Tile & Stone Adjusted Income Statements

	2022	2023	2024	2025F
Net Sales	**$ 5,316,900**	**$ 5,803,396**	**$ 5,245,133**	**$ 5,306,627**
Gross Profit	$ 3,846,133	$ 2,516,930	$ 2,377,718	$ 2,405,594
One-time Revenue Adj.	$ -	$ (66,527)	$ -	$ -
Adjusted Net Sales	**$ 5,316,900**	**$ 5,736,869**	**$ 5,245,133**	**$ 5,306,627**
Adjusted Gross Profit	**$ 3,846,133**	**$ 2,450,403**	**$ 2,377,718**	**$ 2,405,594**
Net Income	**$ 85,757**	**$ 434,329**	**$ 528,562**	**$ 534,759**
EBIT	**$ 86,092**	**$ 449,671**	**$ 528,657**	**$ 534,855**
EBITDA	**$ 99,152**	**$ 523,393**	**$ 558,852**	**$ 565,404**
One-time Expense Adj.	$ -	$ -	$ -	$ -
Rent Adj.	$ -	$ -	$ 10,000	$ 11,524
Owner's Comp. Add-Back	$ 381,205	$ 412,838	$ 399,630	$ 404,315
Discretionary Expenses Add-Back	$ 67,365	$ 38,308	$ 94,296	$ 95,402
SDE	**$ 547,722**	**$ 908,012**	**$ 1,062,778**	**$ 1,076,645**
Replacement Owner's Comp.	$ (138,869)	$ (138,869)	$ (138,869)	$ (138,869)
Discretionary Expenses Deduction	$ -	$ -	$ -	$ -
Adjusted Net Income	**$ 395,458**	**$ 680,079**	**$ 893,620**	**$ 907,131**
Adjusted EBIT	**$ 395,793**	**$ 695,421**	**$ 893,715**	**$ 907,228**
Adjusted EBITDA	**$ 408,853**	**$ 769,143**	**$ 923,910**	**$ 937,777**
Weighting	**0%**	**0%**	**75%**	**25%**

See pg. 43 for a detailed description of adjustments made to financials

WEIGHTED INCOME STMT.

JB Tile & Stone Weighted, Adjusted Income Statement (Base Year)

	Weighted Financials
Weighted, Adjusted Net Sales	$5,260,507
Weighted, Adjusted Gross Profit	$2,384,687
Weighted, Adjusted Net Income	$896,998
Weighted, Adjusted EBIT	$897,093
Weighted, Adjusted EBITDA	$927,376
Weighted, Adjusted SDE	$1,066,245

BALANCE SHEET

JB Tile & Stone Historical and Interim Balance Sheets

	2022	2023	2024	Interim
Cash and Cash Equivalents	$ 161,309	$ 340,215	$ 644,074	$ 639,017
Accounts Receivable, net	$ -	$ -	$ -	$ 1,127
Inventories	$ -	$ -	$ -	$ -
Other Current Assets	$ -	$ -	$ -	$ 21,602
Total Current Assets	**$ 161,309**	**$ 340,215**	**$ 644,074**	**$ 661,746**
Buildings and Other Depreciable Assets, net	$ 112,133	$ 140,893	$ 110,698	$ 110,698
Land, net	$ -	$ -	$ -	$ -
Intangible Assets, net	$ -	$ -	$ -	$ -
Non-Operating Receivables	$ -	$ -	$ -	$ -
Other Non-Current Assets	$ 2	$ -	$ -	$ -
Total Assets	**$ 273,444**	**$ 481,108**	**$ 754,772**	**$ 772,444**
Accounts Payable	$ -	$ -	$ -	$ (328)
Current Portion of Long-Term Debt	$ -	$ -	$ -	$ -
Other Current Liabilities	$ 94,677	$ 109,498	$ 118,185	$ 29,681
Total Current Liabilities	**$ 94,677**	**$ 109,498**	**$ 118,185**	**$ 29,353**
Long-Term Debt	$ -	$ -	$ -	$ -
Other Non-Current Liabilities	$ -	$ -	$ -	$ -
Total Liabilities (L)	**$ 94,677**	**$ 109,498**	**$ 118,185**	**$ 29,353**
Total Shareholders' Equity (SE)	**$ 178,767**	**$ 371,610**	**$ 636,587**	**$ 743,091**
Total Liabilities and Shareholders' Equity (L & SE)	**$ 273,444**	**$ 481,108**	**$ 754,772**	**$ 772,444**

ADJUSTED BALANCE SHEET

JB Tile & Stone Adjusted Balance Sheet

	Interim Book Value	Included in Value	Adjustment Factor	Adjustments	Adjusted Book Value
Cash and Cash Equivalents	$ 639,017	No	100%	$ (639,017)	$ -
Accounts Receivable, net	$ 1,127	Yes	see note*	$ 375,873	$ 377,000
Inventories	$ -	Yes	see note**	$ 117,000	$ 117,000
Other Current Assets	$ 21,602	No	100%	$ (21,602)	$ -
Total Current Assets	**$ 661,746**	**-**	**-**	**$ (167,746)**	**$ 494,000**
Build. and Other Deprec. Assets, net	$ 110,698	Yes	0%	$ -	$ 110,698
Land, net	$ -	No	0%	$ -	$ -
Intangible Assets, net	$ -	No	0%	$ -	$ -
Non-Operating Receivables	$ -	No	0%	$ -	$ -
Other Non-Current Assets	$ -	No	0%	$ -	$ -
Total Assets	**$ 772,444**	**-**	**-**	**$ (167,746)**	**$ 604,698**
Accounts Payable	$ (328)	No	0%	$ 328	$ -
Current Portion of Long-Term Debt	$ -	No	0%	$ -	$ -
Other Current Liabilities	$ 29,681	No	100%	$ (29,681)	$ -
Total Current Liabilities	**$ 29,353**	**-**	**-**	**$ (29,353)**	**$ -**
Long-Term Debt	$ -	No	0%	$ -	$ -
Other Non-Current Liabilities	$ -	No	0%	$ -	$ -
Total Liabilities (L)	**$ 29,353**	**-**	**-**	**$ (29,353)**	**$ -**
Total Shareholders' Equity (SE)	**$ 743,091**	**-**	**-**	**$ (138,393)**	**$ 604,698**
Total L & SE	$ 772,444	-	-	$ (167,746)	$ 604,698

VALUE ALLOCATION

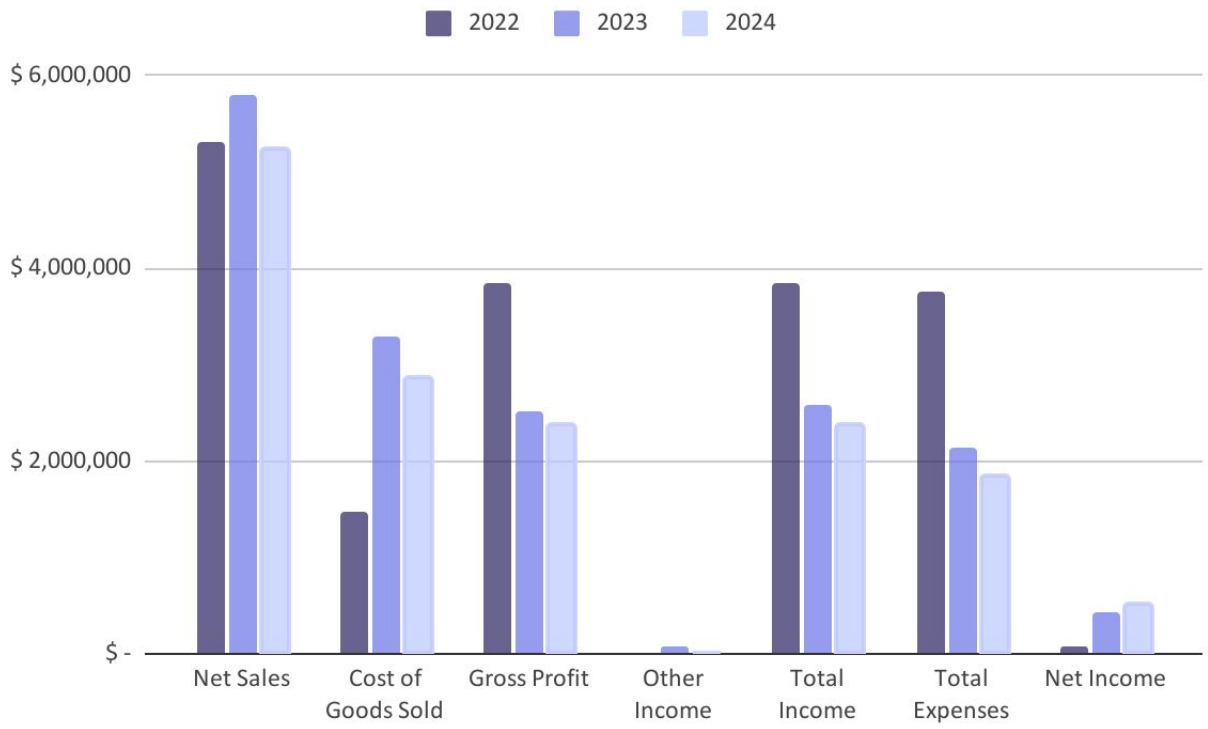
Fair Market Value Allocation (100% interest)

Fair Market Value	**$ 3,820,000**
Adj. Book Value of Liabilities Assumed	$ -
Enterprise Value	**$ 3,820,000**
Fixed Tangible Assets	$ 110,698
Other Tangible Assets	$ 494,000
Tangible Assets Assumed	**$ 604,698**
Goodwill	**$ 3,215,302**

HISTORICAL TRENDS

JB Tile & Stone Past 3 Years' Percent Changes

	2022	2023	2024
Net Sales	**$ 5,316,900**	**$ 5,803,396**	**$ 5,245,133**
Percent Change	N/A	9.1%	-9.6%
Cost of Goods Sold	**$ 1,470,767**	**$ 3,286,466**	**$ 2,867,415**
Percent Change	N/A	123.5%	-12.8%
Gross Profit	**$ 3,846,133**	**$ 2,516,930**	**$ 2,377,718**
Percent Change	N/A	-34.6%	-5.5%
Other Income	**$ -**	**$ 66,527**	**$ -**
Percent Change	N/A	N/A	-100.0%
Total Income (Gross Profit + Other Income)	**$ 3,846,133**	**$ 2,583,457**	**$ 2,377,718**
Percent Change	N/A	-32.8%	-8.0%
Total Expenses	**$ 3,760,376**	**$ 2,149,128**	**$ 1,849,156**
Percent Change	N/A	-42.8%	-14.0%
Net Income	**$ 85,757**	**$ 434,329**	**$ 528,562**
Percent Change	N/A	406.5%	21.7%



FINANCIAL RATIOS

Liquidity and Leverage Ratio Analysis

Liquidity Ratios		
Current Ratio	22.54	Current assets divided by current liabilities: indicates the Company's ability to pay current liabilities. A current ratio less than 1 is a cause for concern.
Quick Ratio	21.81	Liquid assets divided by current liabilities: indicates the Company's ability to meet immediate needs. Liquid assets include cash, cash equivalents, and accounts receivable. Inventory and other assets that are not easily liquidated are excluded.
Leverage Ratios		
Debt/Assets	-	Total debt divided by total assets: indicates the Company's ability to pay its debts, otherwise known as long-run solvency.
Debt/Equity	-	Total debt divided by total equity: indicates the Company's relative capital provided by creditors and shareholders. A high debt/equity ratio suggests high financial leverage, which in turn means high financial risk.
Interest Coverage Ratio	9415.49	EBIT divided by interest expense: indicates the Company's ability to cover interest payments. A high coverage ratio suggests that the Company is better prepared to pay its interest. Also called "Times Interest Earned".

FINANCIAL RATIOS

Activity and Profitability Ratio Analysis

Activity Ratios		
Accounts Receivable Turnover	4667.71	Net sales divided by accounts receivable: indicates the quality of the Company's receivables and its ability to collect outstanding receivables. A high accounts receivable turnover suggests quicker collection.
Inventory Turnover	-	COGS divided by inventory: measures how quickly the Company's inventory is sold. A high inventory turnover suggest better firm performance.
Asset Turnover	6.81	Net sales divided by total assets: indicates the efficiency at which the Company is utilizing its assets. A high asset turnover suggests the Company is using its assets effectively to generate revenue.
Working Capital Turnover	8.32	Net sales divided by working capital: indicates the efficiency at which the Company is utilizing its working capital. A working capital turnover suggests the Company is using its working capital effectively to generate revenue. however, a working capital turnover that is too high suggests creditor risk. Working capital is the difference between current assets and current liabilities.
Profitability Ratios		
Profit Margin	17.05%	Net income divided by net sales: indicates the degree to which the Company's sales contribute to its profitability. In other words, profit margin indicates how much net income is generated per dollar of sales.
Return on Equity	120.71%	Net income divided by total equity: measures earnings on owners' equity in the Company. A higher ROE suggests increased shareholder wealth resulting from the Company.
Return on Assets	116.12%	Net income divided by total assets: indicates how efficiently the Company is utilizing its assets to generate profits. A high ROA suggests the Company is more efficient and profitable as a result of using its assets.

INDUSTRY OUTLOOK

Luxury tile installation services (Construction) industry outlook

The luxury tile installation services industry, where JB Tile and Stone operates, is heavily influenced by housing market trends. Recent data shows that housing starts experienced a decline of 11.4% in March, with single-family housing particularly hard hit, seeing a significant 14.2% drop. However, there was a notable 47.8% increase in multifamily housing starts compared to the previous year, suggesting potential opportunities in that segment. Despite the mixed trends, building permit authorizations saw a modest increase of 1.6% in March, indicating potential future demand, although single-family permits decreased by 2.0%. These fluctuations paint a varied outlook for new construction projects, which in turn impacts the demand for luxury tile installation services.

Looking at construction spending dynamics, overall spending decreased by 0.5% in March but showed a 2.8% increase year-over-year. Private construction spending, which is relevant to JB Tile and Stone, experienced a 0.6% decrease from February but was up 2.3% year-over-year. Specifically, private residential construction spending, crucial for luxury tile installations, was 2.8% higher than in March 2024, indicating sustained demand in high-end residential projects. These figures point towards a resilient market for JB Tile and Stone, with potential growth opportunities in multifamily housing and continued demand in the luxury residential sector.

INDUSTRY OUTLOOK

Luxury tile installation services (Construction) industry outlook

Industry Overview:

JB Tile and Stone operates in the high-end construction services industry, specializing in solid surface fabrication and custom tile and stone installation for luxury residential and commercial properties. The company's strategic focus on affluent private markets aligns well with the current industry trends. While public construction spending saw a slight decrease in March, there was a notable 4.7% increase from the previous year, indicating overall growth in the sector. Educational construction spending, in particular, rose by 7.6% year-over-year, presenting potential opportunities for companies like JB Tile and Stone to explore public sector projects that require high-quality craftsmanship.

Implications for Acquisition:

An acquisition of JB Tile and Stone could provide a strategic entry point into the high-end construction services market, especially in affluent regions like the San Francisco Bay Area. The company's expertise in solid surface fabrication and custom installation, coupled with its strong reputation for exceptional craftsmanship, could enhance the acquirer's portfolio and offer opportunities to tap into the luxury residential and commercial property segment. Additionally, the industry's overall growth trends and the company's focus on stable private markets make it an attractive acquisition target for investors looking to expand their presence in the construction services sector.

Sources:
- U.S. Census Bureau: Construction Spending Report
- Construction Dive: Industry Trends and Analysis

Source: BVR EOU Q1 2025

MACRO IMPLICATIONS

Macroeconomic Analysis and Implications for the Company

JB Tile and Stone, operating in the high-end construction services industry, faces a macroeconomic environment characterized by moderate economic growth and elevated inflationary pressures. The U.S. economy is expected to grow at a modest pace, with real GDP projected to increase by 1.6% in the second quarter of 2025 and 1.7% in the third quarter (Consensus Economics Inc.). However, the Congressional Budget Office anticipates a slowdown in economic growth to 1.9% in 2025 and further to 1.8% in 2026 (CBO), indicating a stable but slow economic environment that may impact consumer spending on luxury home improvements.

Inflation remains a concern, with the Federal Reserve highlighting somewhat elevated levels. The Consumer Price Index (CPI) rose by 2.4% over the last 12 months, while the core CPI increased by 2.8% (Bureau of Labor Statistics). Additionally, the Producer Price Index (PPI) for final demand increased by 2.7% over the past year (Bureau of Labor Statistics). The Federal Reserve projects Personal Consumption Expenditures (PCE) inflation to be at 2.7% in 2025, with core PCE inflation at 2.8% (Federal Reserve). These inflationary pressures could impact JB Tile and Stone's material costs and pricing strategies, particularly in the luxury market where price sensitivity may be lower but still influential.

Considering the company's focus on high-end residential projects and material sales for luxury kitchens and bathrooms, the impact of inflation on material costs and consumer pricing decisions is crucial. Additionally, the economic growth outlook may influence the demand for high-end renovations and custom home projects, affecting JB Tile and Stone's revenue streams and profitability. Any potential acquisition of the company's business should carefully consider these macroeconomic factors to assess the risks and opportunities associated with the luxury construction market in the current economic landscape.

Source: BVR EOU Q1 2025

MACRO IMPLICATIONS

Macroeconomic Analysis and Implications for the Company

JB Tile and Stone, operating in the high-end construction services industry, may face implications from the current macroeconomic environment. The stable but relatively high interest rates set by the Federal Open Market Committee could impact the company's financing costs and the borrowing capacity of its clients. This may potentially affect the demand for high-end construction services, as clients may be more cautious about taking on additional debt at higher interest rates. The forecasted decrease in the three-month Treasury bill rate by the end of the third quarter of 2025 could provide some relief in terms of financing costs for the company and its clients.

The increasing U.S. goods and services deficit, along with the rise in imports, could impact JB Tile and Stone's material costs if they rely on imported materials for their projects. The trade deficit and tariffs imposed may also influence the overall economic environment, potentially affecting consumer confidence and spending in the luxury market. This could have implications for the company's sales of materials and services to high-end residential clients in the Bay Area.

Considering an acquisition of JB Tile and Stone's business, potential lenders should closely monitor how the macroeconomic trends, particularly interest rates and trade dynamics, could impact the company's financial performance and market positioning. Understanding the broader economic outlook and its implications on the company's operations will be crucial in assessing the feasibility and risks associated with acquiring JB Tile and Stone.

MACRO IMPLICATIONS

Macroeconomic Analysis and Implications for the Company

JB Tile and Stone, operating in the high-end construction services industry, is poised to benefit from the optimistic outlook in the real estate market. The forecasted rise in transaction volumes to $500.0 billion in 2025 by the Urban Land Institute and Ernst & Young indicates a favorable environment for the company's luxury tile and stone installations. With single-family housing starts expected to increase to 1,025,000 in 2025, JB Tile and Stone's focus on high-end residential projects aligns well with the projected growth in this segment.

However, challenges may arise from the forecasted increase in vacancy rates for apartments and office spaces. This trend could potentially impact the broader real estate market, leading to uncertainties in demand for construction services. Inflation, a key macroeconomic factor, could also influence the company's operations by affecting material costs and project budgets. Rising inflation rates may put pressure on profit margins unless pricing strategies are adjusted accordingly.

Moreover, the ongoing tariff war and its implications on imported materials could impact JB Tile and Stone's supply chain and material costs. Navigating these uncertainties will be crucial for the company's financial performance and competitiveness in the market. For potential acquirers, understanding the macroeconomic landscape and its impact on the company's operations will be essential in assessing the risks and opportunities associated with acquiring JB Tile and Stone's business.

VALUATION

VALUATION OVERVIEW

Conclusion of value (summary)

Based on our comprehensive assessment of the available information and detailed analysis, and with due regard to the enclosed Statement of Assumptions and Limiting Conditions, our professional judgment is that the fair value and fair market value of all assets of JB Tile & Stone, considering it as a non-marketable interest, as of May 31, 2025, is:

> Fair market value (rounded): $3,820,000

It is essential to emphasize that Value Buddy, Inc. charges a fee for this valuation service, which is entirely independent of the outcomes presented in this valuation report. Furthermore, we would like to underline that this valuation is governed by the terms and conditions outlined in Value Buddy's terms and conditions listed on its website.

Valuation methodology summary

Methodology	Rounded value	Weighting
Income (DCF) approach	$3,712,000	50%
Market (multiples) approach	$3,927,500	50%
Concluded value of all assets of JB Tile & Stone	**$3,820,000**	**100%**

ASSET APPROACH

Asset Approach - Adjusted Book Value Method

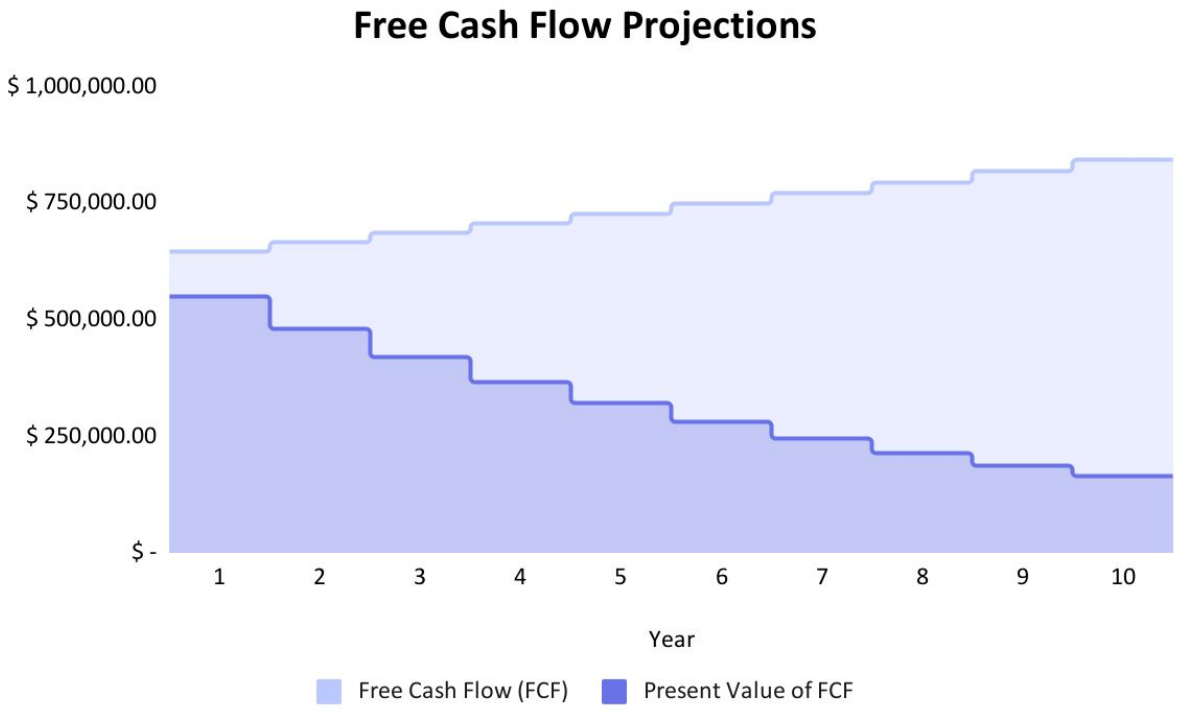
The determination of a business's book value involves adjusting the recorded value of its assets and liabilities to their estimated fair market value at the time of assessment. See Exhibit 1 for more information regarding the Adjusted Balance Sheet. Adjustments made to the Company's assets include:

- Removing non-operating receivables from related entities/parties
- Removing intangible value and accumulated amortization as aggregate intangible value or goodwill will be determined in the overall course of this valuation
- Removed any other miscellaneous assets excluded from the Purchase Agreement

Unadjusted assets	**$ 772,444**
Non-operating receivables	$ -
Intangible assets and accumulated amortization	$ -
Miscellaneous excluded / adjusted assets	$ (167,746)
Included liabilities	**$ -**
Subtotal	**$ 604,698**
Less illiquidity discount	0.00%
Indicated total enterprise value	**$ 604,698**
Selected value (rounded)	**$ 605,000**

In our view, the adjusted book value method would only serve to establish a minimum value for the business, most likely in a scenario of liquidation. Given that the business was a going concern at the valuation date, is projected to generate cash flows, and was unlikely to be liquidated in the foreseeable future, **we opted not to utilize the adjusted book value method and the asset approach**.

INCOME APPROACH



Present Value of FCFs	+	Terminal Value	–	Illiquidity Discount	–	Asset Adjustments	=	DCF Valuation
$3,235,310		$889,562		$412,487		$0		$3,712,000

INCOME APPROACH

$3,712,000

SUMMARY

The income approach values the business based on its ability to generate future cash flows. Future cash flows are discounted back to the present value. This reflects all assets of JB Tile & Stone.

INCOME APPROACH

Base year free cash flow calculation

A Discounted Cash Flow (DCF) model is used to calculate the intrinsic value of the company. The DCF models projects 10 years of cash flows and an exit value assuming the business is sold after year 10 and discounts each year's cash flows to the present value using a discount rate.

EBIT	**$ 924,006**
Income Tax Rate	27%
Less: Income Taxes	$ (249,482)
Net Operating Profit After Tax	**$ 674,524**
Plus: Depreciation and Amortization	$ 30,284
NWC as a % of Sales	5.08%
YoY Net Sales Growth (Base Year vs. 2025F)	$157,815
Less: Estimated Change in NWC	$ (8,025)
Less: Capital Expenditures	$ (50,000)
Free Cash Flow to the Firm	**$ 646,783**

Assumptions

- Income tax rate (27%) is based on the national average in the KPMG Corporate Tax Rate Survey which includes federal, state, and local income taxes
- Estimated annual capital expenditures estimated based on avg. D&A over the past 3 yrs. and industry benchmarks which assume fixed assets must be maintained / replaced at the rate they are depreciated
- Base year EBIT starts with the weighted EBIT and is grown for 1 year at the short-term growth rate

See pg. 54 for a detailed breakdown of the the projected cash flows and present value of cash flows

DISCOUNT RATE

Introduction to discount rates

The discount rate applied to convert future cash flows into their present value represents the rate of return an investor expects for assuming the perceived risks associated with the investment. The cash flows in this analysis exclude interest expenses and changes in debt principal, reflecting the amount available to both equity and debt holders. Therefore, the discount rate used to calculate the present value of these cash flows is the weighted average cost of capital (WACC), which takes into account the required returns on both equity and debt.

Weighted average cost of capital (WACC) formula

WACC = Weight of Equity x Cost of Equity + Weight of Debt x Cost of Debt

Cost of equity

Value Buddy employs a build-up method to determine the business' cost of equity which is the specific risk associated with this enterprise based on the following formula:

$$Ke = CSRP + SP + Rf + ERP$$

Where:

Ke = Cost of equity

CSRP = Company-specific risk premium

SP = Size premium

Rf = Risk-free rate

ERP = Equity risk premium

DISCOUNT RATE

Company-specific risk premium (CSRP)

Given JB Tile & Stone's risk classification of Secure, the CSRP used in the cost of equity build-up methodology is **+2.0**%.

Size premium (SP)

The size premium calculated by the Kroll Cost of Capital Navigator is **+7.8**% for decile 10b (small businesses).

Risk-free rate (Rf)

The Rf is based on the 10-year U.S. Treasury Bill (T-bill) which has an interest rate of **+4.4**% at the time of this valuation.

Equity risk premium (ERP)

The current U.S. ERP is calculated by Kroll as **+6.4**%.

Cost of equity (Ke) calculation

Factor	Contribution	Source
Plus: CSRP	2.0%	Lending Risk Summary
Plus: SP	7.8%	Kroll Cost of Capital Navigator (10b decile)
Plus: Rf	4.4%	CBOE Global Markets
Plus: ERP	6.4%	Kroll Cost of Capital Navigator (10b decile)
Cost of Equity (Ke)	**20.6%**	

DISCOUNT RATE

Cost of debt (Kd)

Cost of Debt (Kd) = Pre-Tax Cost of Debt (Kdpt) × (1 – Tax Rate(T))

Cost of debt (Kd) calculation

Factor	Contribution	Source
Plus: WSJ Prime Rate	7.5%	WSJ
Plus: SBA Spread	3.0%	SBA
Pre-Tax Cost of Debt	**10.5%**	**Calculation**
x 1 - Tax Rate	73.0%	KPMG Tax Survey
Cost of Debt (Kd)	**7.7%**	

Weighted average cost of capital (WACC) calculation

Factor	Value	Source
Weight of Equity	78.0%	Kroll Cost of Capital Navigator (10b decile)
x Cost of Equity	20.6%	See prior calculations
Equity Contribution	**16.1%**	**Calculation**
Weight of Debt	22.0%	Kroll Cost of Capital Navigator (10b decile)
x Cost of Debt	7.7%	See prior calculations
Debt Contribution	1.7%	Calculation
WACC (Kc)	**17.7%**	

ASSUMPTIONS

Short-term Cash Flow Growth (Years 1-5) - Computed based on the lender's SDE projections, the company's historical EBITDA growth rates, the net sales growth rates of comparable private companies, and the EPS growth rates of public companies in the same industry

- JB Tile & Stone 3-year EBITDA CAGR: 137.4%
- Comparable private company net sales growth rate: 1.4%
- Comparable publicly traded company EPS growth rate: 2.9%

> Short-term cash flow growth rate used in DCF model: 3.0%

Long-term Cash Flow Growth (Years 6-10) - Computed based on the lender's SDE projections, the company's historical EBITDA growth rates, the net sales growth rates of comparable private companies, and the EPS growth rates of public companies in the same industry

- JB Tile & Stone 3-year EBITDA CAGR: 137.4%
- Comparable private company net sales growth rate: 1.4%
- Comparable publicly traded company EPS growth rate: 2.9%

> Long-term cash flow growth rate used in model: 3.0%

Discount Rate - Computed using the WACC methodology

> Discount rate used in model: 17.7%

ASSUMPTIONS

Terminal Value

The terminal value is the value of a business beyond the forecasted period (i.e., more than 10 years from today). To calculate terminal value, an SDE exit multiple is applied to the final year's SDE to determine a theoretical selling price of the business after Year 10. This value is then discounted by the cost of capital to represent its present value. The SDE exit multiple used is based on the SDE multiples of comparable companies. This method is preferred to the perpetual growth method as it removes uncertainty related to cash flows in the distant future which can be hard to estimate for a small private business.

> SDE exit multiple used in model: 3.18x

Illiquidity Discount

A proxy for the cost of "buyer's remorse". If an investor or owner wanted to immediately sell their ownership in the company, there would be a loss due to illiquidity since the valuation target is not actively and publicly traded. Value Buddy uses the guidelines set by Professor Damodaran and the NACVA to determine an appropriate illiquidity discount.

> Illiquidity discount used in model: 10.00%

DCF Structure

The DCF model analyzes financial inputs to calculate FCF. The model is segmented into short-term (Years 1-5), long-term (Years 6-10), and a terminal exit value

Multiples

Estimated using purchase prices of comparable private companies.

MARKET APPROACH

Criteria

The market approach, also known as relative or comparative valuation, is a fundamental approach used in the valuation of companies and assets. It involves assessing the value of a subject company or asset by comparing it to similar entities or assets in the same industry or market. This method relies on the premise that the market values comparable assets or companies similarly based on their financial performance, characteristics, and market conditions.

Comparable Company Selection Methodology

In the valuation report, Value Buddy uses the BVR DealStats database to identify comparable companies by applying the following criteria:

1. **Industry:** Companies with similar business descriptions or NAICS codes to the target company are selected.
2. **Timeliness:** Preference is given to companies acquired within the past three years to reflect current market conditions post-COVID.
3. **Geography:** Only U.S.-based companies are considered, with preference given to those from the same state / region as the target company.
4. **Size/Profitability:** The selection favors companies with similar revenue and SDE ranges.

COMPARABLE SET

Comparable Company Statistics Valuation Multiples Summary

Company	Description	Valuation
Company 1	Tile Restoration Contractor	$4,500,000
Company 2	Floor Design and Installation Contractor	$4,000,000
Company 3	Stone Countertop Manufacturing Business	$3,850,000
Company 4	Commercial and Residential Floor Covering Seller and Installer	$2,600,000
Company 5	Flooring Contractor	$1,995,000
Company 6	Granite Countertop Fabrication	$1,900,000
Company 7	Tile Flooring Sales and Installation	$1,850,000
Company 8	Installation and Sales of Tile Flooring	$1,750,000
Company 9	Stone Flooring Contractor	$1,567,000
Company 10	Stone Fabricator	$1,550,000
Company 11	Commercial Stone Flooring Contractors	$1,400,000
Company 12	Fabricates and Installs Stone, Quartz, and Solid Countertops	$1,300,000
Company 13	Flooring and Remodeling Business	$1,075,000
Company 14	Flooring Sales and Installation	$1,033,000
Company 15	Granite, Stone and Marble Manufacturing and Installation Business	$1,000,000

COMPARABLE SET

Comparable Company Statistics Valuation Multiples Summary (cont.)

Company	Net Sales	Gross Profit	EBITDA	EBIT	SDE
Company 1	$5,200,000	$1,685,000	$579,225	$560,725	$1,069,225
Company 2	$7,540,703	$2,268,820	$1,236,711	$1,236,711	$1,461,711
Company 3	$5,815,502	$3,192,567	$984,926	$942,554	$1,274,800
Company 4	$5,721,224	$1,822,088	$786,000	$786,000	$894,000
Company 5	$2,012,679	$1,716,359	$761,254	$821,137	$863,254
Company 6	$2,455,071	$890,521	$570,610	$455,907	$650,610
Company 7	$3,537,020	$1,059,840	$295,088	$295,088	$505,088
Company 8	$3,468,812	$3,468,812			$575,435
Company 9	$6,885,094			$597,310	$648,800
Company 10	$3,861,000	$1,532,000	$565,000	$665,000	$665,000
Company 11	$2,900,800	$897,527	$93,576	$93,576	$608,777
Company 12	$4,428,144	$1,086,637	$172,233	$165,728	$271,285
Company 13	$3,550,278				$516,161
Company 14	$3,454,288	$1,015,998	$261,191	$253,742	$346,191
Company 15	$2,131,552			$389,082	$474,162

COMPARABLE SET

Comparable Company Statistics Valuation Multiples Summary (cont.)

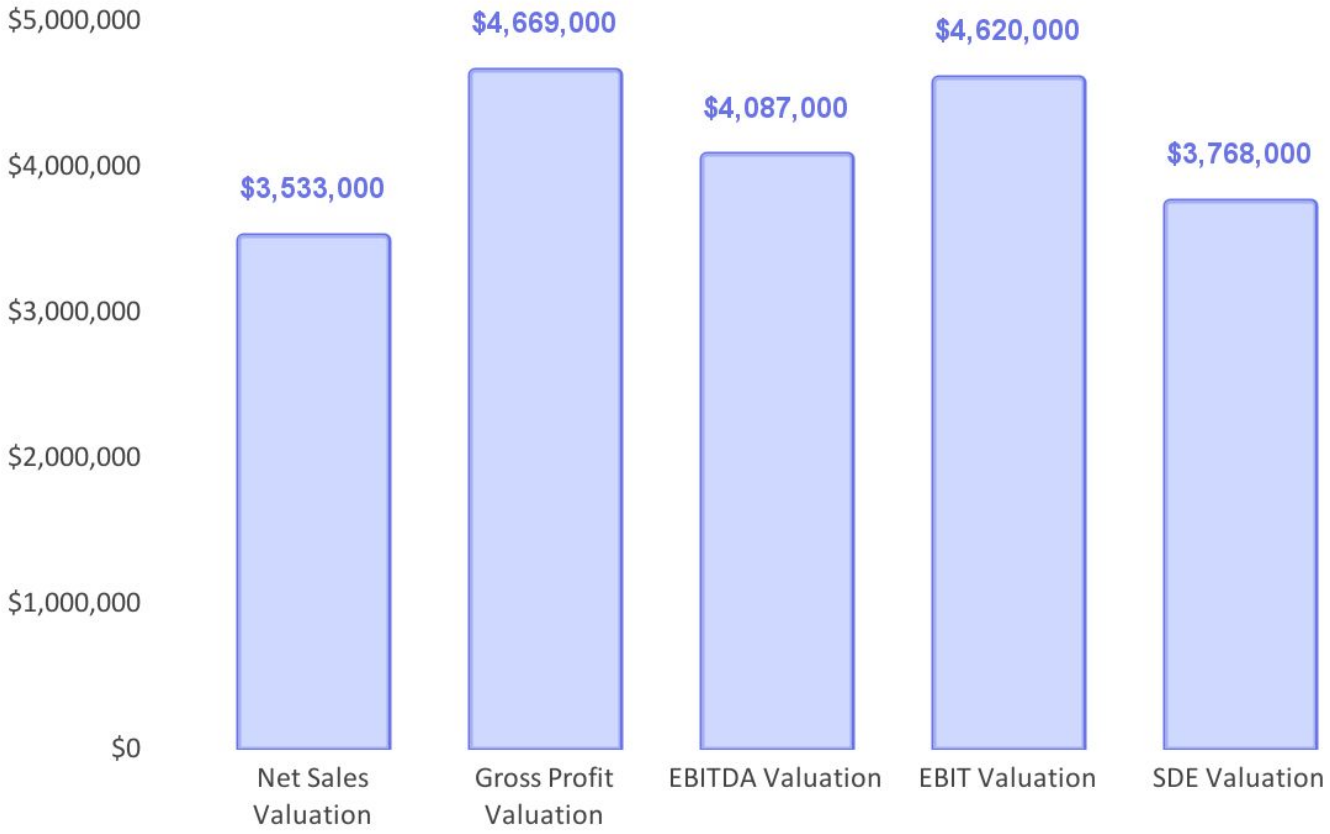
Company	Net Sales Multiple	Gross Profit Multiple	EBITDA Multiple	EBIT Multiple	SDE Multiple
Company 1	0.90	2.70		8.00	4.20
Company 2	0.50	1.80	3.20	3.20	2.70
Company 3	0.70	1.20	3.90	4.10	3.00
Company 4	0.50	1.40	3.30	3.30	2.90
Company 5	1.00	1.20	2.60	2.40	2.30
Company 6	0.80	2.10	3.30	4.20	2.90
Company 7	0.50	1.80	6.30	6.30	3.70
Company 8	0.50	0.50			3.00
Company 9	0.20			2.60	2.40
Company 10	0.40	1.00	2.70	2.30	
Company 11	0.50	1.60			2.30
Company 12	0.30	1.20	7.60	7.80	4.80
Company 13	0.30				
Company 14	0.30	1.00	4.00	4.10	3.00
Company 15	0.50			2.60	
75th percentile	**0.60**	**1.80**	**4.00**	**4.73**	**3.18**

MARKET APPROACH

Financial Metrics & Multiples

Net Sales Multiple 0.6	X	Net Sales $5,260,507	+	Asset Adjustments $377,000	=	Net Sales Valuation $3,533,000
Gross Profit Multiple 1.8	X	Gross Profit $2,384,687	+	Asset Adjustments $377,000	=	Gross Profit Valuation $4,669,000
EBITDA Multiple 4	X	EBITDA $927,376	+	Asset Adjustments $377,000	=	EBITDA Valuation $4,087,000
EBIT Multiple 4.73	X	EBIT $897,093	+	Asset Adjustments $377,000	=	EBIT Valuation $4,620,000
SDE Multiple 3.18	X	SDE $1,066,245	+	Asset Adjustments $377,000	=	SDE Valuation $3,768,000

MARKET APPROACH



Rounded Overall Method Weights

0%	0%	25%	0%	25%

MARKET APPROACH

$3,927,500

Note: The overall methodology weights determine the conclusion of value, with proportional weights applied for market approach valuation. This reflects all assets of JB Tile & Stone.

ASSET ADJUSTMENTS

Summary of excluded assets and impact on valuation

There are no excluded operating assets in this transaction.

Explanation of NWC impact on valuation

As a target working capital amount included in the purchase price has been determined based on the amount required to maintain operations, there is considered to neither be an excess nor deficiency of net working capital.

OTHER ADJUSTMENTS

Control premium of assets

The control premium represents an extra amount an investor is willing to pay above the fair market value for a majority interest in a company. For instance, if public stock is selling at $100 per share, but an investor offers $120 per share to purchase all shares, the control premium is 20%. It reflects the investor's willingness to gain control over the company's assets and management, potentially leading to higher cash flows.

In private firms, buying a minority interest is often more complex, as the owner/founder typically holds significant control. In such cases, the valuation expert may conclude that the current and projected cash flows already embody the control value.

Value Buddy evaluates several factors to decide whether to apply a control premium or a minority discount to the initial discounted cash flow results. These factors include the owner's cash flow management, non-operating assets, management quality, synergies, and growth opportunities.

For the Company, the active owners seem committed to maximizing growth despite market challenges. Therefore, we assume that the value already includes a control premium.

OTHER ADJUSTMENTS

Non-recurring events

As part of our valuation analysis process, we have scrutinized the company's income statement to assess the necessity of adjustments for non-recurring revenues or expenses during the valuation base year. Non-operating Other Income of $66,527 in the form of a state tax refund in 2023 has been deducted. No adjustments were made for one-time expenses.

Rent adjustments

Value Buddy did not perform a real estate appraisal. The owner of the Company also owns the property that it rents, thus a rent adjustment must be considered to normalize rent to a fair market value. The agreed lease rate of $10,000 per month between the buyer and seller as per the Client's CAD is considered to be the fair market rate. The rent expense in each year is adjusted to this amount, resulting in an adjustment of $10,000 in 2024 and $11,524 in 2025 (calculated based on 2024's percentage of sales).

Guaranteed payments to owners and discretionary spending

The owners of JB Tile & Stone took total salaries ranging from $381,205 to $412,838 (inc. employer's share of FICA taxes). Fair market value must assume that the owner-operator is paid a market salary. Therefore, officer compensation in each year is adjusted to $138,869 (incl. employer's share of FICA taxes) based on an operations manager salary in Redwood City, CA from Salary.com. In normalizing the Seller's Discretionary Earnings for the valuation analysis, adjustments were made to account for discretionary expenses identified by the buyer. These adjustments included excluding Seller's compensation of $383,500 and other employee labor costs of $27,181 in 2023, $371,231 and $82,815 in the interim period, and a total of $509,680.64 for the 2024 TTM period.

WEIGHTINGS

Weighting of historical financials

The Company experienced a spike in revenue in 2023 following pent up demand from covid-relayed delays. In 2024, revenues stabilized to 2022 levels. With a healthy backlog, the business is projecting a moderate increase in 2025. Accordingly 75% weight has been applied to the 2024 tax return financials and 25% weight has been applied to the 2025 projected income statement.

Weighting of valuation methodologies

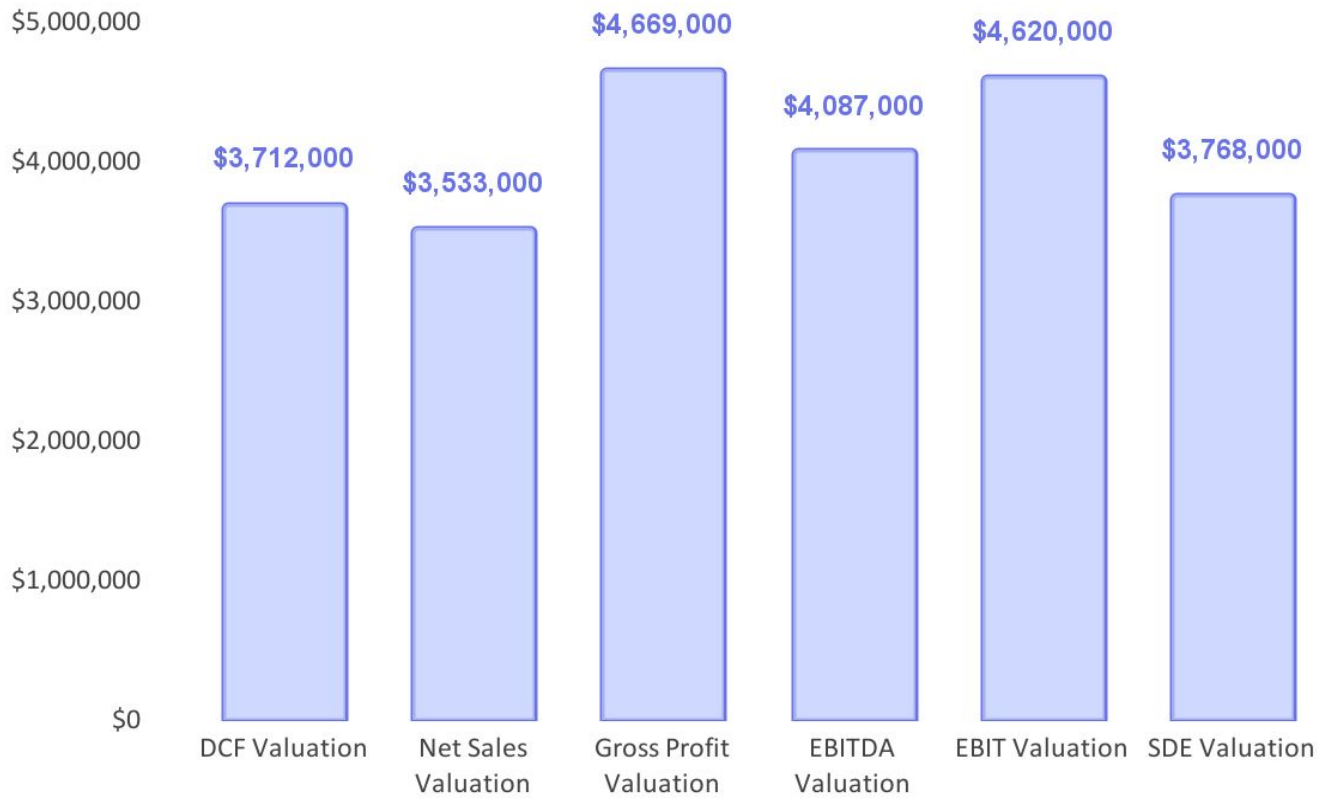
The income approach (DCF) and market approach (split equally between the EBITDA and SDE multiples) valuation methodologies were equally weighted to give a holistic view of the Company's valuation. We view each methodology as being equally applicable given the income approach considers company-specific valuation factors while the market approach valuation is deeply rooted in data from transactions of comparable companies.

VALUATION SUMMARY

Conclusion

Conclusion of Value for All Assets of JB Tile & Stone

$3,820,000



Rounded Overall Method Weights

50%	0%	0%	25%	0%	25%

RISK REVIEW

In this section we will summarize our risk review of the valuation including KPI benchmarking against comparable companies and analysis of qualitative risk factors to supplement the underwriter's due diligence.

KPI BENCHMARKING

TARGETS ACHIEVED	HEALTH SCORE
10/10	Thriving

KPI Category	JB Tile & Stone	Benchmark
Growth		
Trailing Earnings Growth	137.4%	1.4%
Forward Earnings Growth	3.0%	1.4%
Efficiency		
Inventory Turnover	-	18.67
COGS / Sales	54.7%	69.2%
Rent / Sales	2.5%	2.5%
A / R Turnover	4,667.71	15.74
Margins		
Gross Profit Margin	45.3%	32.1%
EBITDA Margin	17.6%	13.7%
Operating Profit Margin	17.1%	13.7%
Net Profit Margin	17.1%	16.0%
SDE Margin	20.3%	17.2%

LENDING RISK SUMMARY



KEY LENDING RISKS

- Industry default risk
- Low revenue stability
- Tariff risk

Summary for purchase of all assets of JB Tile & Stone

After evaluating various factors, the lending risk associated with JB Tile & Stone's acquisition appears to have a mixed profile. The analysis of SBA loan default rates suggests a moderately lower likelihood of charge-offs, but concerns arise from revenue stability metrics showing below-average growth rates and inconsistent revenue. Despite these risks, the company exhibits exceptional financial health, reflected in a high Value Buddy business health score and robust liquidity ratios, which help alleviate some apprehensions. Competition risk is moderate due to the competitive market landscape and the presence of established competitors. Customer satisfaction poses a potential risk, as mixed reviews indicate both positive and negative experiences. Supply chain vulnerability is relatively low, although industry-specific risks require careful management. Environmental risks are lower than the industry average based on ESG analysis. Governance risks are notable due to the absence of a formal board of directors, potentially impacting decision-making processes. In conclusion, while the company's financial health is strong, careful consideration of risks related to revenue stability, competition, customer satisfaction, and governance is advised in the lending decision.

RISK ASSESSMENT

SBA loan default analysis

Risk factor	Loan volume	Charge-off rate
Industry (NAICS)	9,414	1.03%
State	98,558	0.94%
Zip code	1,742	0.58%
Loan size	36,930	0.66%
Change of ownership	38,591	0.51%
JB Tile & Stone estimate	-	0.87%
National average	815,191	1.43%

Industry: NAICS (4-digit) 2383 Building Finishing Contractors

Geography: California Zip code 940XX

Loan size: >$2,000,000

Based on our analysis of over 815,000 SBA 7a loans issued since 2010, JB Tile & Stone may have a moderately lower than average likelihood to result in a charge-off if this acquisition is financed.

The SBA loan default risk analysis is designed to be viewed as a directional measurement of risk, not an absolute measure of the expected charge-off rate.

Source: Analysis of SBA 7a loan data

RISK ASSESSMENT

Supply chain vulnerability and tariff risk

Input	Vulnerability Score	China Exposure	Risk Score
Minerals - Minerals & Stone	20.70	0.44	23.92
Iron & Steel Products	4.56	2.86	16.75
Plastics	2.21	4.70	16.86

The recent tariffs imposed by the U.S. are expected to have a significant impact on JB Tile & Stone, particularly in the realm of stone fabrication, a key input for the company's granite, marble, quartz, and limestone services. With a short-run price increase of percent and a long-run increase of percent, the cost of production is likely to rise, potentially leading to higher prices for luxury residential and commercial projects in the San Francisco Bay Area. This could directly affect the company's revenue stream, as 32% of its services are centered around stone fabrication.

Moreover, the tariffs are also anticipated to influence ceramic and mosaic tile installation, crucial for JB Tile & Stone's premium tile installation services. The short-run price increase of percent and long-run impact of percent may result in elevated project costs for customers, potentially affecting demand in the long run. Given that 43% of the company's revenue comes from ceramic, porcelain, and glass tile installation, these price hikes could have a notable effect on the business's bottom line.

Source: Analysis of Yale TBL and Kaplan data
Note: See appendix for a detailed description of tariff data and scores

RISK ASSESSMENT

Management team

The management team at JB Tile & Stone has some industry-specific experience, ranging from 1-5 years. Their involvement is moderately critical to the business operations, with their knowledge and relationships being important. However, the feasibility of training a new team suggests that the management team's experience may not be a significant risk factor in acquiring the business.

Source: Analysis of Onboarding Survey responses

Financial health

JB Tile & Stone demonstrates exceptional financial health according to Value Buddy's business health score, achieving a "Thriving" rating and meeting 10 out of the total targets. This score considers various factors including profit margins and growth rates. With a current ratio of 22.54, significantly surpassing the industry benchmark of 2.31, the company exhibits strong liquidity and ability to cover short-term obligations. Additionally, the interest coverage ratio of 9415.49 indicates a robust ability to meet interest payments, far exceeding the threshold for a strong rating. Overall, JB Tile & Stone presents a financially sound profile.

Source: Analysis and benchmarking of company financials

Competition

JB Tile & Stone operates in a competitive market with a moderate level of differentiation in its product/service offerings compared to competitors. While there are only a few competitors in the market, the presence of established companies with strong reputations and brand recognition poses a competitive risk. To mitigate this risk, JB Tile & Stone must leverage its specialized expertise, unique design capabilities, and exceptional customer service to maintain a strong position in the market.

Source: Analysis of Onboarding Survey responses

RISK ASSESSMENT

Customer satisfaction

The overall Google review rating for JB Tile & Stone is 3.4. Recent customer reviews indicate a mix of positive and negative feedback. Positive reviews highlight professionalism, quality work, and helpful staff. However, negative reviews raise concerns about reckless driving behavior by employees, poor workmanship leading to additional costs for customers, and delays in project completion. These issues could pose risks to customer satisfaction and reputation.

Source: Analysis of recent Google reviews

Revenue stability

Based on the historical revenue performance of JB Tile & Stone, there are significant risks associated with financing a business acquisition. The company's net sales compound annual growth rate (CAGR) of -0.06% is notably lower than the industry average of 1.38% and the U.S. GDP growth rate of 1.80%. Furthermore, the Revenue Growth Consistency Index (RGCI) of 39.21% indicates poor revenue stability, suggesting inconsistent year-over-year growth. These factors suggest a high level of risk in financing the acquisition of JB Tile & Stone.

Source: Analysis of company financials

RISK ASSESSMENT

ESG (environmental, social, governance)

Based on our analysis of carbon emissions data, the Building Finishing Contractors industry exhibits lower than average environmental risk in terms of carbon emissions per firm. The industry averages 34,105 kg of GHG CO2 emissions per firm, significantly lower than the national average of 376,538 kg of GHG CO2 emissions per firm across all industries in the U.S. This suggests that businesses in this industry have a relatively lower environmental impact compared to the broader business landscape.

However, it is important to note that this analysis is based solely on carbon emissions data and further comprehensive analysis should be conducted in accordance with the SBA SOP. This may include a more detailed third-party environmental report to assess other potential environmental risks associated with the acquisition of the small business.

The lack of a board of directors or formal advisors at JB Tile & Stone poses a significant risk in terms of governance and decision-making processes. Without a structured oversight mechanism, there is a higher likelihood of mismanagement and strategic missteps, which could impact the business's financial stability.

Source: Analysis of Onboarding Survey responses & secondary industry data

APPENDIX

TARIFF RISK DATA

Further detail on tariff risk data

The tariff risk analysis provides industry-level insight into the potential impact of tariffs on critical supplies and inputs. This analysis reflects risks common to small businesses in the subject industry, not the unique supply chain of the subject company, which may rely on different suppliers or sourcing strategies.

The **vulnerability score** measures structural exposure to trade disruptions and is based on four factors: trade dependency, market concentration, partner concentration, and average trade value. The score is on a 0 to 100 scale with risk classifications of:

- 30+ = very high risk
- 20 to 30 = high risk
- 10 to 20 = moderate risk
- <10 = low risk

China exposure is calculated as the share of total U.S. imports of a given input that originate from China. This metric helps gauge reliance on Chinese supply chains and uses the same risk scale as the vulnerability score.

The overall **risk score** is a weighted average of the vulnerability score (50% of weighting), China exposure (30% of weighting), and additional trade exposure to other key partners like Canada and Mexico (20% of weighting). It provides a broader view of tariff-related input risk.

The risk analysis also draws on research from The Budget Lab at Yale, incorporating context on short- and long-term pricing pressure on key inputs due to tariffs, expected GDP impact of tariffs on the subject industry, and the macroeconomic effects of recent tariffs on the U.S. economy. These elements combine to estimate the degree of tariff-driven volatility that may affect small businesses in the subject industry.

DISCOUNTED CASH FLOW

Projections

Year-by-year DCF contributions

Year	Free Cash Flow (FCF)	Present Value of FCF
1	$ 646,782.75	$ 549,301.04
2	$ 666,186.23	$ 480,506.91
3	$ 686,171.82	$ 420,328.52
4	$ 706,756.98	$ 367,686.83
5	$ 727,959.69	$ 321,637.96
6	$ 749,798.48	$ 281,356.22
7	$ 772,292.43	$ 246,119.33
8	$ 795,461.20	$ 215,295.50
9	$ 819,325.04	$ 188,332.02
10	$ 843,904.79	$ 164,745.43
Terminal Value	**$ 4,556,761.86**	**$ 889,562.09**

DISCLAIMER

Disclaimer

This business valuation report has been prepared by Value Buddy, Inc. in conformity with the Uniform Standards of Professional Appraisal Practice and other relevant professional guidelines (i.e., NACVA), except where noted. Value Buddy is an independent valuation provider and has no financial or personal relationship with the buyer or seller of the subject interest. Value Buddy is also independent from the loan origination function of the lender.

This report was commissioned and paid for to support SBA 7(a) loan underwriting and was prepared solely for that purpose. Value Buddy has no financial interest in the subject transaction or the entities involved.

The included risk assessment is designed to calculate the company-specific risk premium for valuation purposes. It should not be interpreted as a determination of the borrower's creditworthiness or the feasibility of the transaction.

This valuation primarily relies on historical financial data provided by the company’s representative, assumed to reflect normal business operations. Any inaccuracies in this data may impact the conclusions of the report.

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